

Different Needs at Different Stages

As you start your home business, you will be packaging and packing your own products, printing/ writing labels and dropping them off at the nearest courier service provider. This will work to a certain extent at a limited scale of orders. You will also incur higher costs as compared to a more mature setup but hey Rome wasn't built in a day. Keep patience, keep at it and you will get there.

As you scale up, you will need to get more professional. Once the order level hits a critical mass, say around double digits, you can start talking to courier delivery companies to pick up the packages from you. This will save you time and resources and ensure better service. This is where you are beginning to hit your strides and the business is growing.

As it grows further, you will reach a point where there are a certain number of orders daily, maybe high double digits. Don't jump the gun be sure that this has become the new normal for you and isn't simply a flavour of the season. By this time, you will also have enough data to analyse the highest sold product and fine tune your shipping strategy around that product. This is where the 80:20 rule can be applied- 80% of your orders will come from 20% of your products. So the packaging and shipping can be geared around these 20% products. Now you have really reached the optimum level of shipping and can promise a certain level of volume to the carriers. This means that now you are playing on economies of scale and can negotiate better fixed rates.

Actually, we can break this down further into 2 levels. As your volume grows and you can promise a minimum quantity or volume per day, you may still want to tie up with smaller carriers just around the corner instead of the bigger guys like FedEx, DHL etc. The reason is even though you have reached a certain level, the numbers may still be low for giants like these. So you will get better service from the smaller guys at this point.

Now when the volumes have escalated further, maybe triple digits per day, you can approach the bigger players. Now you have the numbers and the business to promise that will make them salivate and court you.

Overall as your business scales, your cost of shipping will keep falling and the profits will keep rising. One major point to remember in all this is to ensure that the carrier you tie up with has the kind of country wide or even global reach that you may need. You don't want to be stuck with someone who has you running helter-skelter when you have an order from a new geography.